



# Parshwanath Capital Ventures Fund

SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108

Fund Manager: CA Deep Dalal | Sponsor: Jignesh Shah

IPO ANALYSIS REPORT · DRHP

## J B Ecotex Limited

Mainboard · PET recycling (recycled polyester fibre, food-grade rPET resin, chemically recycled resin) · filed 2026-09-30  
· lead manager(s): Motilal Oswal; JM Financial · issue size Rs 517 cr · price band: Not announced · analysed 2026-10-07

CALL

### Screen only

CHECKS

0 fail · 6 watch · 6 pass · 2 open

Revenue grew at a 25.3% CAGR over FY24-FY26 with positive operating cash flow each year, but PAT was flat (Rs 211.3 m to Rs 224.9 m) and ROCE stayed near 10%; the Rs 90.10 reference price is about 69x FY26 EPS, in line with the single listed peer.

|                                                            |                                                                     |                                                                  |                                                                                                                                                                                                         |
|------------------------------------------------------------|---------------------------------------------------------------------|------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Revenue FY26<br><b>₹828 cr</b><br>CAGR FY24-FY26:<br>25.3% | PAT FY26<br><b>₹22 cr</b><br>CAGR FY24-FY26:<br>3.2%                | EBITDA margin<br><b>10.9%</b><br>FY24: 10.1%                     | Cash conversion (CFO / PAT, 3 yrs)<br><b>201.4%</b>                                                                                                                                                     |
| Cash tax rate (3 yrs)<br><b>21.1%</b>                      | P/E at reference (post-issue)<br><b>86.7x</b><br>peer median: 68.9x | Blended value (Neutral)<br><b>₹36.34</b><br>vs reference: -59.7% | Reference price<br><b>₹90.1</b><br>Rs 90.10 = Sep-2025 preferential issue at Rs 901 per Rs 10 share, adjusted for the 4:1 bonus and 1:2 split (pp. 125-127). It is a reference point, not a price band. |

## Where to focus

### **! Watch** Current vs deferred tax p. 72

Current tax 21.0% of cumulative PBT ( $183.53 / 871.88 = 21.0\%$ ); deferred tax was 25.13 of the 83.16 FY26 charge (30.2%). Cash tax is below the 25.17% statutory rate, consistent with accelerated depreciation on a large capex base.

### **! Watch** Related-party capex & subsidiaries pp. 75-79; 73; 112-115

Solar panels and installation bought from related party Climate Detox Renewables: Rs 201.89 m in FY25 (27.9% of FY25 purchase of fixed assets, Rs 724.27 m). Proceeds go to the subsidiary JB rPET as equity or debt, mode not decided (p. 115); the subsidiary is wholly owned so there is no minority leakage. Loans to the subsidiary Rs 159.22 m (FY26) and Rs 265.00 m (FY25), with Rs 250.00 m converted to equity in FY26.

### **! Watch** Revaluation reserve p. 397; p. 333

Revaluation reserve (Ind AS deemed-cost uplift of PPE) Rs 614.81 m = 22.5% of total equity of Rs 2,737.70 m. The issuer's own net worth, NAV and RoNW exclude it (net worth Rs 2,122.89 m), but total equity, debt-to-equity and the balance sheet include it.

### **! Watch** Contingent liabilities p. 74

Contingent liabilities Rs 1,333.86 m = 62.8% of ICDR net worth (Rs 2,122.89 m) or 48.7% of total equity. Rs 1,155.20 m are corporate guarantees for the consolidated subsidiary's own loans (the risk factor on subsidiary guarantees states Rs 1,055.20 m while the contingent liabilities table states Rs 1,155.20 m, a Rs 100.00 m difference the DRHP does not reconcile), so most of it is already in borrowings. Tax disputes Rs 76.07 m net of pre-deposits. Materiality threshold for litigation is Rs 10.70 m (lowest of three tests).

### **! Watch** Auditor qualifications / changes pp. 43-45, 85

No qualification; FY24 special-purpose consolidated report carries an emphasis of matter on basis of accounting (p. 43). Auditor change: DSI & Co resigned 12-Dec-2024 citing other professional commitments; Singhi & Co appointed 20-Mar-2025 to fill the casual vacancy and re-appointed 30-Sep-2025 for four years (p. 85).

### **! Watch** CARO / audit trail pp. 43-45

CARO 2020 clause (iii)(h)(vi): audit trail feature not enabled at database level for the accounting software, reported for the consolidated, standalone and subsidiary FY26 reports. Management says it is implementing it. No adjustment to the restated numbers.

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

# Forensic scorecard

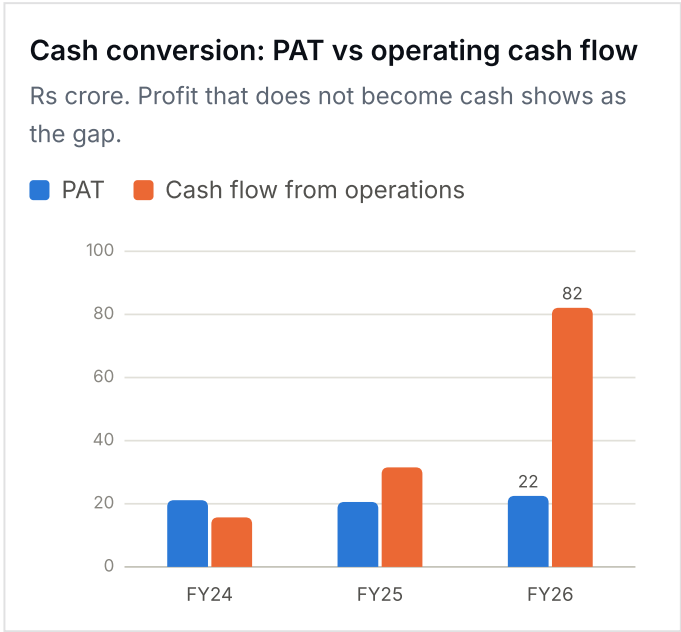
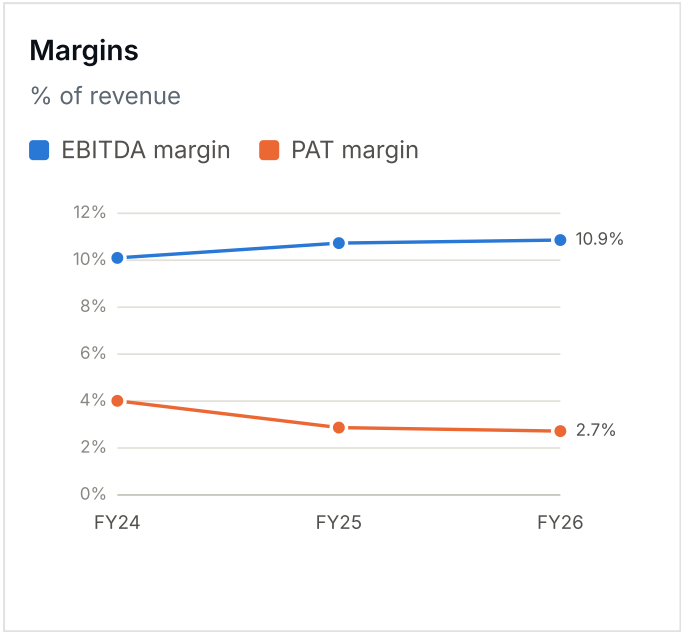
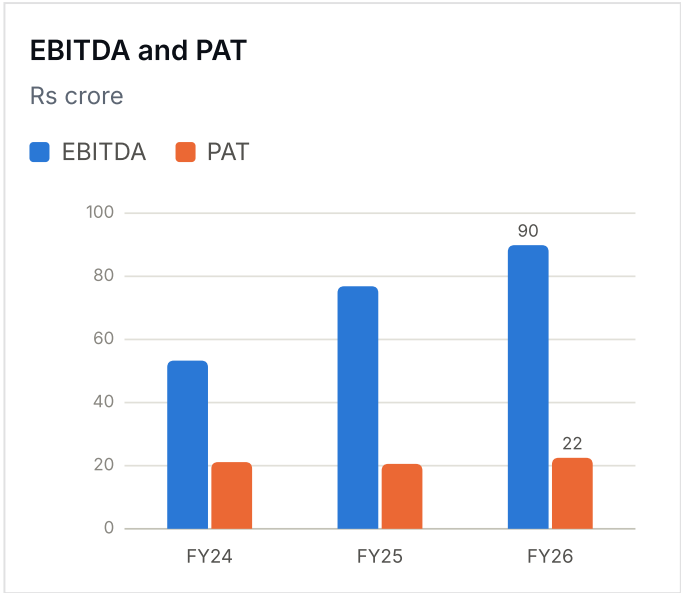
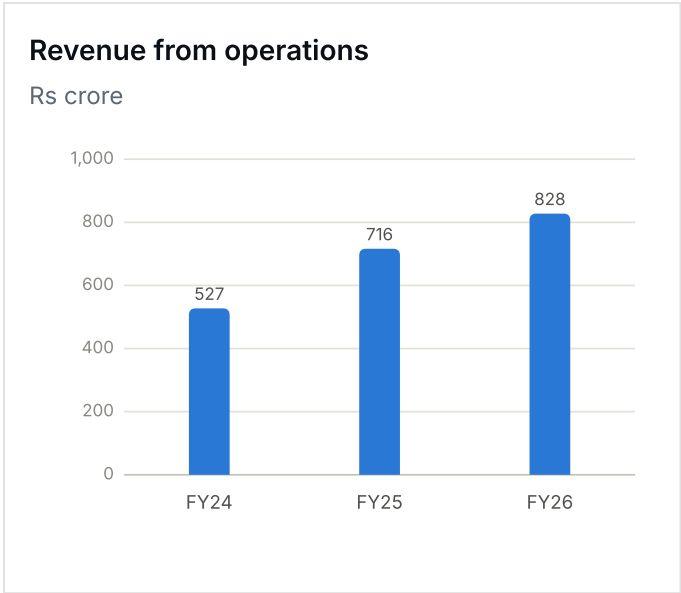
Ten forensic checks and seven regulatory checks.

| # | CHECK                                          | RESULT  | FINDING                                                                                                                                                                                                                                                                                                                                                                                                                           | PAGE                   |
|---|------------------------------------------------|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------|
| 1 | Bonus issue / share-count consistency          | ✓ Pass  | 4:1 bonus (28-Apr-2026) and 1:2 split (24-Apr-2026) are reflected: EPS 1.31 / 1.24 / 1.38 and NAV 12.34 use 171,988,460 shares for all years. The FY26 balance sheet still shows 17,198,846 shares of Rs 10 (capital Rs 171.99 m), which is the pre-bonus count and is a presentation point only.                                                                                                                                 | pp. 119-120, 126       |
| 2 | Cash flow vs profit                            | ✓ Pass  | CFO positive in all three years: 156.84 / 315.32 / 820.93 (Rs m, FY24/25/26); cumulative CFO/PAT = 201%. CFO is struck before interest (Rs 602.92 m paid over three years); after interest the ratio is about 108%. FY26 CFO includes a Rs 541.21 m inventory release after a Rs 701.65 m build in FY25. Capex over three years was Rs 2,925.09 m, funded by debt and equity.                                                     | p. 73                  |
| 3 | Current vs deferred tax                        | ! Watch | Current tax 21.0% of cumulative PBT (183.53 / 871.88 = 21.0%); deferred tax was 25.13 of the 83.16 FY26 charge (30.2%). Cash tax is below the 25.17% statutory rate, consistent with accelerated depreciation on a large capex base.                                                                                                                                                                                              | p. 72                  |
| 4 | Related-party capex & subsidiaries             | ! Watch | Solar panels and installation bought from related party Climate Detox Renewables: Rs 201.89 m in FY25 (27.9% of FY25 purchase of fixed assets, Rs 724.27 m). Proceeds go to the subsidiary JB rPET as equity or debt, mode not decided (p. 115); the subsidiary is wholly owned so there is no minority leakage. Loans to the subsidiary Rs 159.22 m (FY26) and Rs 265.00 m (FY25), with Rs 250.00 m converted to equity in FY26. | pp. 75-79; 73; 112-115 |
| 5 | Objects arithmetic as price floor              | – N.A.  | Fresh issue is amount-based (up to Rs 4,000 m); no fixed fresh share count, so no objects price floor can be set. Rs 3,200 m repays bank and NBFC debt; the balance is general corporate purposes (not above 25% of gross proceeds) and offer expenses.                                                                                                                                                                           | pp. 109-110            |
| 6 | Revaluation reserve                            | ! Watch | Revaluation reserve (Ind AS deemed-cost uplift of PPE) Rs 614.81 m = 22.5% of total equity of Rs 2,737.70 m. The issuer's own net worth, NAV and RoNW exclude it (net worth Rs 2,122.89 m), but total equity, debt-to-equity and the balance sheet include it.                                                                                                                                                                    | p. 397; p. 333         |
| 7 | Goodwill vs tangible equity                    | ✓ Pass  | No goodwill. Other intangible assets nil at 31-Mar-2026; Rs 0.71 m under development.                                                                                                                                                                                                                                                                                                                                             | p. 71                  |
| 8 | Customer / supplier / geographic concentration | ○ Open  | The DRHP gives 728 customers and 522 suppliers (FY26) and says there is no significant dependence on any one supplier, but gives no top-1 / top-5 / top-10 customer or supplier percentages. Concentration cannot be tested. Supply side has no long-term contracts (p. 228). Exports 20.29% of FY26 revenue (12.79% FY25). Imports 11.02% of COGS FY26.                                                                          | pp. 244, 378           |

| #  | CHECK                            | RESULT         | FINDING                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | PAGE          |
|----|----------------------------------|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|
| 9  | Contingent liabilities           | <b>! Watch</b> | Contingent liabilities Rs 1,333.86 m = 62.8% of ICDR net worth (Rs 2,122.89 m) or 48.7% of total equity. Rs 1,155.20 m are corporate guarantees for the consolidated subsidiary's own loans (the risk factor on subsidiary guarantees states Rs 1,055.20 m while the contingent liabilities table states Rs 1,155.20 m, a Rs 100.00 m difference the DRHP does not reconcile), so most of it is already in borrowings. Tax disputes Rs 76.07 m net of pre-deposits. Materiality threshold for litigation is Rs 10.70 m (lowest of three tests). | p. 74         |
| 10 | Investor presentation vs DRHP    | <b>– N.A.</b>  | No investor presentation reviewed.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |               |
| R1 | Auditor qualifications / changes | <b>! Watch</b> | No qualification; FY24 special-purpose consolidated report carries an emphasis of matter on basis of accounting (p. 43). Auditor change: DSI & Co resigned 12-Dec-2024 citing other professional commitments; Singhi & Co appointed 20-Mar-2025 to fill the casual vacancy and re-appointed 30-Sep-2025 for four years (p. 85).                                                                                                                                                                                                                 | pp. 43-45, 85 |
| R2 | CARO / audit trail               | <b>! Watch</b> | CARO 2020 clause (iii)(h)(vi): audit trail feature not enabled at database level for the accounting software, reported for the consolidated, standalone and subsidiary FY26 reports. Management says it is implementing it. No adjustment to the restated numbers.                                                                                                                                                                                                                                                                              | pp. 43-45     |
| R3 | Monitoring agency                | <b>✓ Pass</b>  | Monitoring agency to be appointed before the RHP is filed, as the offer exceeds Rs 1,000 m. Objects repay bank and NBFC loans only; no related-party loan is listed for repayment (pp. 112-113). Personal guarantees of promoters, directors and relatives support the loans to be prepaid (p. 334), so repayment may release them: an indirect promoter benefit.                                                                                                                                                                               | pp. 85, 117   |
| R4 | Eligibility re-computation       | <b>✓ Pass</b>  | Re-performed Reg 6(1): operating profit 585.80 / 509.29 / 387.58 Rs m reproduces from PBT (308.08 less other income 10.80 plus finance cost 277.79 plus exceptional 10.73 = 585.80); three-year average 494.22 vs Rs 150 m minimum. Net worth 2,122.89 / 1,401.00 / 1,019.02. Monetary assets 2.17% of net tangible assets. KPI EBITDA (898.76) reproduces from the P&L.                                                                                                                                                                        | p. 397        |
| R5 | SME conditions                   | <b>– N.A.</b>  | Mainboard issue under Reg 6(1). For reference, the offer for sale of 12,950,000 shares is Rs 1,166.8 m at the Rs 90.10 reference, 22.6% of a Rs 5,166.8 m offer; test any OFS ceiling against the ICDR as in force when the RHP fixes the price.                                                                                                                                                                                                                                                                                                |               |
| R6 | Lead-manager track record        | <b>○ Open</b>  | DRHP gives the last 10 issues of each BRLM and year-wise summaries; both are recorded in data/merchant_bankers.json. Current prices and issuer financials for these issues are not compiled.                                                                                                                                                                                                                                                                                                                                                    | pp. 403-406   |
| R7 | Firm means of finance            | <b>✓ Pass</b>  | Entire requirement is met from net proceeds, so no separate 75% means-of-finance tie-up is needed; issuer states compliance with Reg 7(1)(e).                                                                                                                                                                                                                                                                                                                                                                                                   | p. 111        |

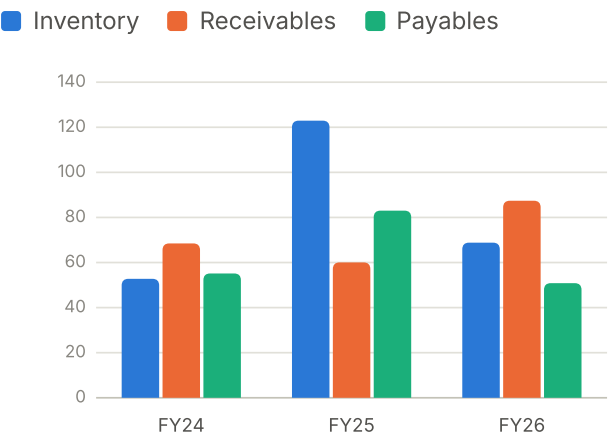
# Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.



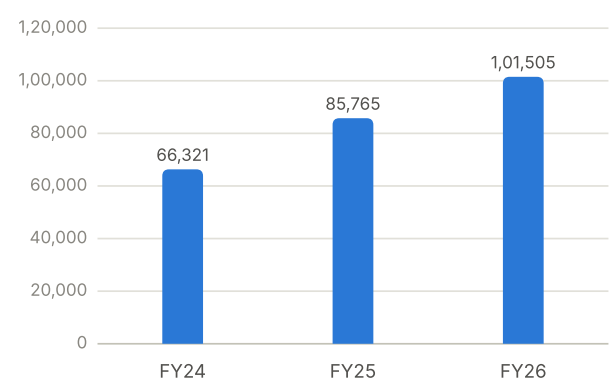
### Working capital build-up

Rs crore, year end



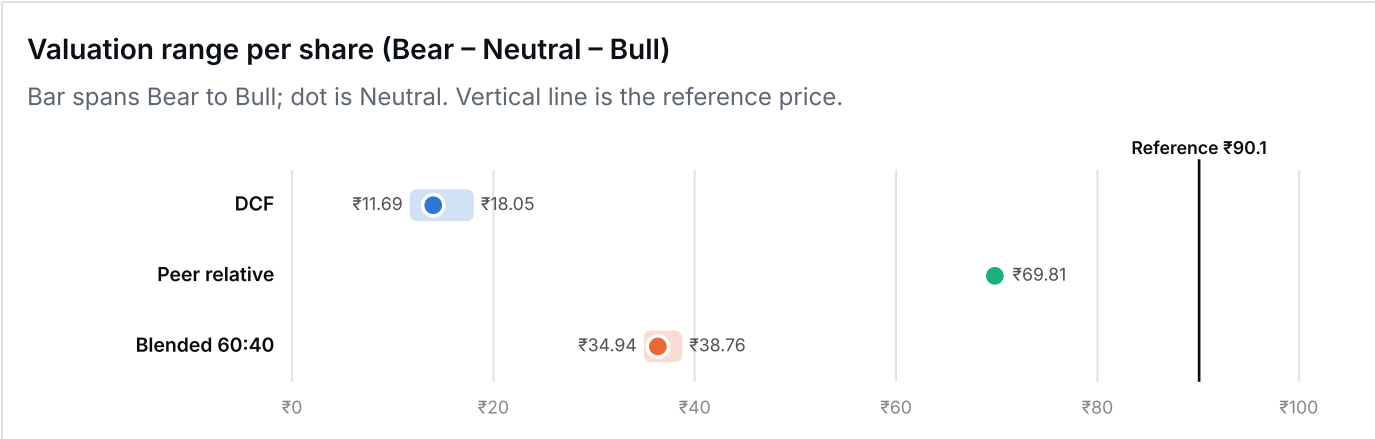
### Volume

MT sold



# Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 90.10 = Sep-2025 preferential issue at Rs 901 per Rs 10 share, adjusted for the 4:1 bonus and 1:2 split (pp. 125-127). It is a reference point, not a price band.



Scenario summary

| RS/SHARE | DCF    | RELATIVE | BLENDED | VS REFERENCE |
|----------|--------|----------|---------|--------------|
| Bear     | ₹11.69 | ₹69.81   | ₹34.94  | -61.2%       |
| Neutral  | ₹14.03 | ₹69.81   | ₹36.34  | -59.7%       |
| Bull     | ₹18.05 | ₹69.81   | ₹38.76  | -57.0%       |

WACC

15.8%

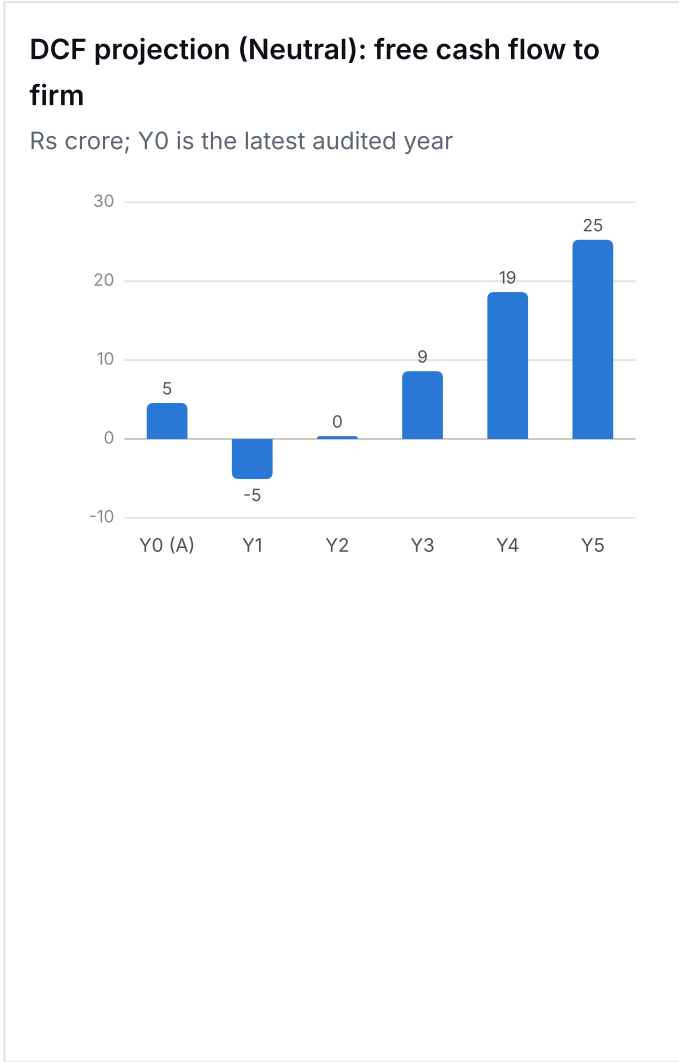
Terminal value share of EV

88.5%

Reverse DCF: what the reference price needs

| LEVER                                    | REQUIRED                                    | ACTUAL |
|------------------------------------------|---------------------------------------------|--------|
| implied perpetual growth on current FCFF | 15.5%                                       | 4.5%   |
| implied WACC at terminal g               | 4.8%                                        | 15.8%  |
| required EBIT margin (steady state)      | 54.6%                                       | 7.1%   |
| required NWC % of revenue (steady state) | Unreachable: needs negative working capital | 12.7%  |

The price asks the business to deliver 406.6 times its current free cash flow, in perpetuity.



### Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

|       | Terminal growth |        |        |        |        |
|-------|-----------------|--------|--------|--------|--------|
| WACC  | 3.5%            | 4.0%   | 4.5%   | 5.0%   | 5.5%   |
| 13.8% | ₹17.27          | ₹17.1  | ₹16.91 | ₹16.69 | ₹16.43 |
| 14.8% | ₹15.73          | ₹15.54 | ₹15.32 | ₹15.08 | ₹14.8  |
| 15.8% | ₹14.45          | ₹14.25 | ₹14.03 | ₹13.77 | ₹13.49 |
| 16.8% | ₹13.38          | ₹13.18 | ₹12.95 | ₹12.71 | ₹12.43 |
| 17.8% | ₹12.47          | ₹12.27 | ₹12.05 | ₹11.81 | ₹11.55 |

Below reference  Above reference

### Sensitivity: working capital vs EBITDA margin

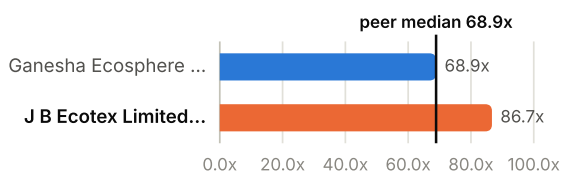
Value per share (Rs). The lever that moves value most deserves the most diligence.

|           | EBITDA margin |        |        |        |        |
|-----------|---------------|--------|--------|--------|--------|
| NWC % rev | 8.5%          | 9.5%   | 10.5%  | 11.5%  | 12.5%  |
| 7%        | ₹11.91        | ₹14.48 | ₹17.05 | ₹19.62 | ₹22.2  |
| 10%       | ₹10.39        | ₹12.97 | ₹15.54 | ₹18.11 | ₹20.68 |
| 13%       | ₹8.88         | ₹11.45 | ₹14.03 | ₹16.6  | ₹19.17 |
| 16%       | ₹7.37         | ₹9.94  | ₹12.51 | ₹15.09 | ₹17.66 |
| 19%       | ₹5.86         | ₹8.43  | ₹11    | ₹13.57 | ₹16.14 |

Below reference  Above reference

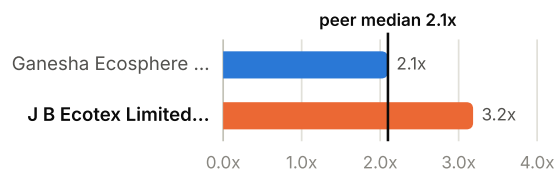
### Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



### Peer P/B

Issuer on post-issue net worth



## Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

### Issue split by investor category (Rs 517 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.

■ Anchor: MF reserved 
 ■ Anchor: insurers & pension 
 ■ Anchor: open pool 
 ■ QIB (non-anchor) 
 ■ Non-institutional 
 ■ Retail



## Lock-in expiries known from the offer document

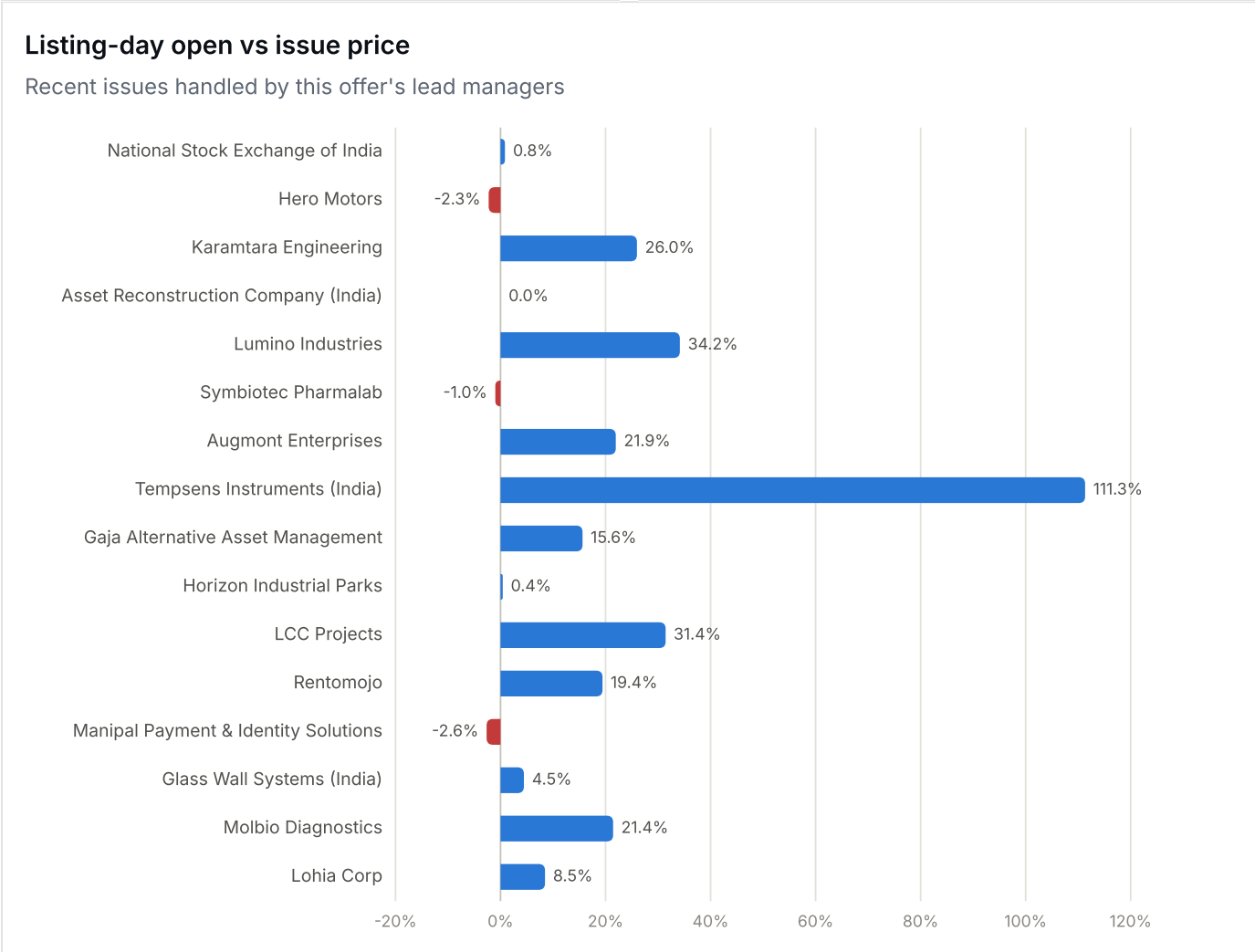
| HOLDER                                                                           | SHARES (LAKH) | LOCK-IN (DAYS FROM ALLOTMENT) |
|----------------------------------------------------------------------------------|---------------|-------------------------------|
| Promoter minimum contribution (20% of post-offer capital, at Rs 90.10 reference) | 432.77        | 1095                          |
| Promoter holding above minimum contribution, after OFS                           | 969.4         | 365                           |
| Pre-issue public shareholders (10.94% pre-offer)                                 | 188.22        | 180                           |

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

# Merchant bankers

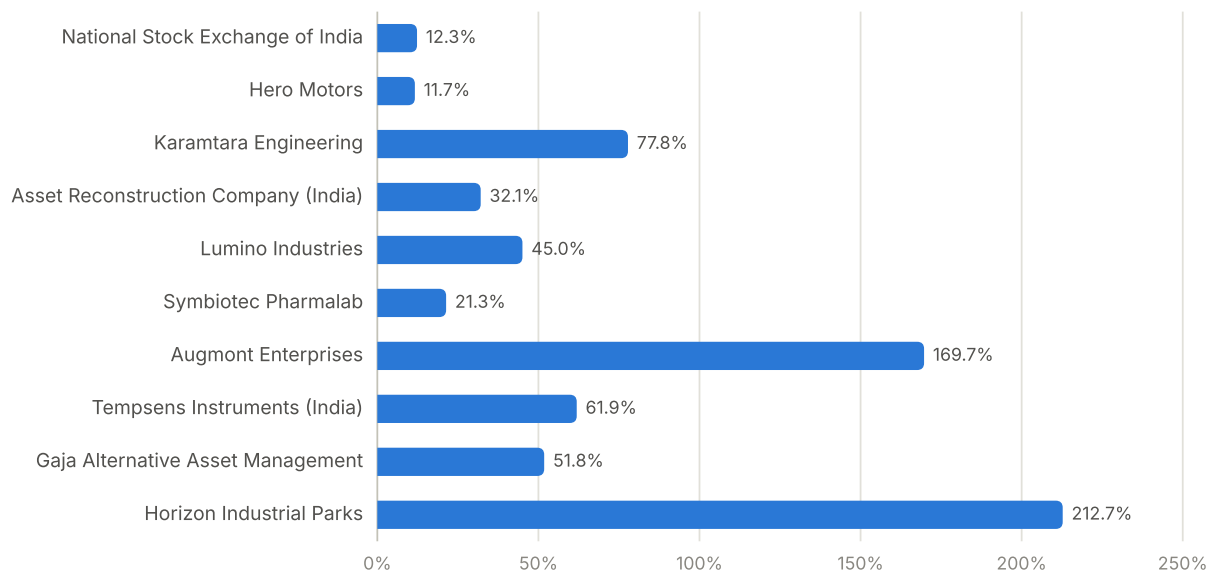
Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

<



## Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)



## SWOT

Each point carries its figure and page reference in the note.

### STRENGTHS

- Second largest Indian PET recycler by installed capacity, 180,360 MTPA at Aug-2026; source: issuer-commissioned report (p. 220)
- Only Indian player with mechanical and chemical recycling; food-grade resin approved by two global beverage firms (pp. 224, 226)
- CFO positive each year: 156.84 / 315.32 / 820.93 Rs m (p. 73)
- Net debt / EBITDA 5.25x to 3.40x over FY24-26 (p. 122)
- Litigation materiality threshold of Rs 10.70 m is the lowest of three tests (p. 384)

### WEAKNESSES

- PAT flat: Rs 211.32 m FY24 vs Rs 224.92 m FY26 (p. 72)
- ROCE 10.28%, ROE 9.46% FY26 (p. 122)
- RPSF still 55.12% of revenue; Chemically Recycled Resins revenue fell 23.3% in FY26 (p. 223)
- Revenue per tonne fell 2.4% in FY26 while volume rose 18.4% (pp. 122, 72)
- Audit trail not enabled at database level, FY26 (p. 43)

## OPPORTUNITIES

- Mandatory recycled content in rigid packaging of 30% / 40% / 50% / 60% for FY26-FY29 (p. 222)
- Indian food-grade rPET resin volume 300.0 KT in FY26 to 2,210.7 KT by FY31, issuer-commissioned estimate (p. 187)
- Food-grade capacity raised to 56,160 MTPA in Aug-2026; FY26 utilisation of this line was 52.47% (pp. 24, 227)
- Rs 3,200 m debt repayment against Rs 3,493.95 m outstanding on listed loans (p. 113)

## THREATS

- Corporate guarantees of Rs 1,155.20 m for the subsidiary's loans (p. 74)
- Raw material (PET waste) has no long-term supply contracts (p. 228)
- Fire at the plant on 04-Dec-2025; insurance claim under assessment (p. 26)
- Ganesha Ecosphere, a larger listed rival, runs 64,500 TPA of food-grade capacity (p. 188)
- Imports were 11.02% of FY26 COGS, up from 1.86% (p. 244)

# Due-diligence note

## J B Ecotex Limited: DRHP screen

**Basis.** Draft Red Herring Prospectus dated 28-Sep-2026, filed with SEBI on 30-Sep-2026. Restated consolidated financials run to 31-Mar-2026 and are **190 days old** at the date of this note (07-Oct-2026).

**No price band has been announced.** Figures are from the DRHP (printed page numbers) in ₹ million unless stated.

Upside is measured against **₹90.10**, the September 2025 pre-IPO preferential issue price (₹901 per ₹10 share) adjusted for the 4:1 bonus and 1:2 split. It is a reference point, not a price band. Exit route assumed: 2–3 year hold.

A DRHP is a screen, not a decision. The audited record is more than six months old, so no capital should be committed until the RHP, which must carry newer financials, has been read.

## Verdict: Screen only. The evidence is mixed.

**Strengths:** scale, positive cash flow and falling leverage.

- Revenue grew at a 25.3% CAGR over FY24–FY26, from ₹5,273.72 m to ₹8,276.02 m, and sales volume at 23.7%, from 66,321 MT to 101,505 MT (pp. 72, 122).
- Operating cash flow was positive in every year: ₹156.84 m, ₹315.32 m and ₹820.93 m. Cumulative CFO is 201% of cumulative PAT, and about 108% after interest paid (p. 73).
- Net debt to EBITDA fell from 5.25x to 3.40x (p. 122).
- The issuer reports itself as the second largest Indian PET recycler by installed capacity and the only one with both mechanical and chemical recycling, 180,360 MTPA at Aug-2026. This is from a report the issuer commissioned (pp. 220, 224).

**Concerns:** profit has not followed revenue, and returns are near 10%.

- PAT was ₹211.32 m in FY24 and ₹224.92 m in FY26, a 3.2% CAGR. Depreciation (+115%) and finance cost (+145%) rose faster than EBITDA (+69%) (p. 72).
- ROCE was 10.28% and ROE 9.46% in FY26 (p. 122).
- The material subsidiary JB rPET Industries, which runs the chemical recycling plant, had negative net assets of ₹70.80 m and a FY26 loss of ₹17.41 m (p. 355).
- The DRHP gives no customer or supplier concentration percentages, and the audit trail was not enabled at database level in FY26 (pp. 43–45, 244).

On a cash basis (DCF) value is far below the reference; on peer multiples (one listed peer, at a depressed-earnings P/E of 68.9x) it is also below it. **H1 FY27 PAT, the price band and the use of the ₹3,200 m debt repayment will show whether the reference is supportable.**

## Snapshot

|                                                                | FY24     | FY25     | FY26     |
|----------------------------------------------------------------|----------|----------|----------|
| Revenue from operations                                        | 5,273.72 | 7,162.33 | 8,276.02 |
| EBITDA (issuer KPI)                                            | 532.90   | 768.50   | 898.76   |
| EBITDA margin                                                  | 10.10%   | 10.73%   | 10.86%   |
| PAT                                                            | 211.32   | 205.69   | 224.92   |
| EPS, post bonus and split (₹)                                  | 1.38     | 1.24     | 1.31     |
| Cash flow from operations                                      | 156.84   | 315.32   | 820.93   |
| Purchase of fixed assets and CWIP                              | 1,549.24 | 724.27   | 651.58   |
| Net debt                                                       | 2,799.10 | 3,460.94 | 3,052.85 |
| ROCE (issuer)                                                  | 10.22%   | 9.96%    | 10.28%   |
| Sales volume (MT)                                              | 66,321   | 85,765   | 101,505  |
| Installed capacity, as counted in the utilisation table (MTPA) | 81,875*  | 132,000* | 141,000  |

Sources: pp. 72–73, 122, 24. \* Capacity as the DRHP's utilisation table counts it, with lines commissioned during the year weighted for part-year operation (FY24: 72,000 + 9,875; FY25: 84,600 + 47,400). Rated capacity at Aug-2026 is 180,360 MTPA (p. 225).

## Business model

- **What it sells:** recycled PET products made from post-consumer PET bottles and other PET waste: recycled polyester staple fibre (RPSF), food-grade recycled PET resin (bottle-to-bottle), recycled PET flakes and chemically recycled resins (p. 221).
- **Who buys it:** 728 customers in FY26 in India and 25 other countries; exports were 20.29% of FY26 revenue against 12.79% in FY25 (pp. 224, 244). Named customers include Varun Beverages and Moon Beverages (p. 223, source: issuer-commissioned report).
- **How it earns:** a conversion margin between the price of PET waste and the price of recycled product. FY26 gross margin (revenue less cost of goods) was 32.39% and EBITDA margin 10.86% (pp. 72, 122). Revenue per tonne was ₹81,533 in FY26.
- **What it owns:** two adjacent plants at Dhamdod, Surat (1.79 million sq ft), the JB Ecotex facility (128,160 MTPA) and the JB rPET facility (52,200 MTPA) (p. 227). Captive power: 7.20 MW wind and 6.60 MW solar; 63.52% of FY26 power came from captive and contracted renewable sources (p. 223).
- **What it outsources:** PET waste collection. It buys from 522 suppliers (over 450 domestic, over 65 overseas) with no long-term supply contracts (pp. 224, 228). Outbound logistics rely on third-party carriers.
- **Structure:** the Company holds 100% of JB rPET Industries Private Limited, acquired from the promoters and others on 26–28 Mar-2025 for ₹250.00 m at ₹10 per share on a net-asset valuation (p. 260). Promoters held 22.50 of the 25.00 million shares sold, so about ₹225 m of the consideration went to nine promoters.

## Industry analysis

Source: the "Recycled resins market" report by Lattice Technologies (1Lattice), dated 25-Sep-2026, **commissioned and paid for by the issuer** for this offer (p. 220). Treat its market estimates accordingly.

- **Market size:** the Indian rPET market is put at US\$ 2.3 bn in FY26, projected at a 20.0% CAGR to US\$ 5.7 bn by FY31; by volume, 1.8 MT to 4.0 MT (17.3% CAGR) (p. 168). The Indian food-grade rPET resin market is put at 300.0 KT in FY26 and 2,210.7 KT by FY31 (p. 187). The issuer's FY26 sales volume of 101,505 MT is about 5.6% of the report's 1.8 MT rPET figure (our arithmetic).
- **Regulation:** mandatory recycled content in rigid plastic packaging of 30%, 40%, 50% and 60% for FY26 to FY29 onward under the extended producer responsibility rules (p. 222). Demand therefore depends on enforcement as well as on rules.
- **Structure:** organised and unorganised players. The DRHP names Ganesha Ecosphere, Pashupati Polytex and BLS Ecotech as key players (p. 378). The report states Ganesha has 64,500 TPA of operating food-grade rPET capacity (p. 188); the issuer's own food-grade capacity is 56,160 MTPA since Aug-2026 (p. 227). Only 17 plants in India hold the FSSAI approval needed for food-grade production, per the same report (p. 224).
- **Unnamed competitors:** global resin makers such as Indorama Ventures, which the report notes is expanding recycling capacity abroad (p. 187), virgin PET suppliers, and unorganised recyclers.
- **Cyclicity:** PET waste and recycled product prices move with virgin PET and crude oil; the DRHP states the business is not seasonal but PET waste availability and price vary by region and season (p. 378).

## Moat

| Source                     | Evidence                                                                                                                | Durability                                                                                                  |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Scale at one site          | 180,360 MTPA capacity, the largest at a single location per the commissioned report (p. 220)                            | Moderate. Capacity can be copied; FY26 utilisation was 70.3% of the 141,000 MTPA then installed (p. 24)     |
| Certifications             | FSSAI licence, USFDA registration, GRS, ISCC; two global beverage companies approved the food-grade line (pp. 224, 223) | Moderate. Certification takes time but is not exclusive; at least one listed peer holds food-grade capacity |
| Chemical recycling process | Proprietary technology, patent applied for, not granted (p. 222)                                                        | Unproven. Chemically Recycled Resins revenue fell 23.3% in FY26 and realisation fell 26.2% (p. 223)         |
| Feedstock network          | 522 suppliers, port proximity (p. 228)                                                                                  | Low. No long-term contracts; imports rose from 1.86% to 11.02% of COGS (p. 244)                             |
| Cost position              | 63.52% of power from captive and contracted renewables (p. 223)                                                         | Moderate. Net electricity cost fell ₹50.23 m in FY26 (p. 371)                                               |

Overall the DRHP supports a **narrow, scale-and-certification moat**. It does not show pricing power: EBITDA per tonne was ₹8,854 in FY26 against ₹9,000 for Ganesha Ecosphere, whose FY26 earnings were lower than FY25 (p. 124).

## Revenue and profit growth drivers

**Revenue: volume in FY25 and FY26, mix in FY26, price negative.**

- Volume rose 29.3% in FY25 and 18.4% in FY26; revenue per tonne rose 5.0% in FY25 and fell 2.4% in FY26 (₹79,518, ₹83,511, ₹81,533) (pp. 72, 122).
- By product in FY26: food-grade resin +₹925.70 m (₹200.77 m to ₹1,126.47 m); rPET flakes +₹591.88 m; RPSF –₹120.08 m (volume 59,528 MT against 60,285 MT); chemically recycled resins –₹269.06 m (pp. 223, 228).
- Realisation per tonne, ₹ thousand, FY24 / FY25 / FY26 (our arithmetic from pp. 223, 228): RPSF 74.8 / 77.7 / 76.6; food-grade resin – / 83.4 / 96.8; flakes 86.2 / 80.1 / 83.8; chemically recycled resins 74.0 / 79.9 / 58.9.
- RPSF is still 55.12% of revenue and flat in volume since FY24.

**Profit: operating leverage offset a lower gross margin; financing and depreciation took the rest.**

| % of revenue                                   | FY24  | FY25  | FY26  |
|------------------------------------------------|-------|-------|-------|
| Gross margin (revenue less cost of goods)      | 35.61 | 33.82 | 32.39 |
| Employee cost                                  | 6.42  | 6.90  | 6.83  |
| Other expenses                                 | 19.09 | 16.19 | 14.71 |
| EBITDA before other income (our recomputation) | 10.10 | 10.73 | 10.86 |

- EBITDA margin rose 0.76 points over two years: gross margin –3.22, employee cost –0.41, other expenses +4.38. Other expenses fell as a share of revenue mainly on lower net electricity (₹271.92 m against ₹322.15 m) and coal and fuel (₹141.40 m against ₹186.06 m) in FY26 (p. 371). Whether the lower gross margin reflects the product mix, PET waste prices or imports is not explained in the DRHP.
- Below EBITDA, depreciation rose from ₹145.32 m to ₹312.96 m and finance cost from ₹113.20 m to ₹277.79 m. EBITDA to finance cost cover fell from 4.7x to 3.2x. PAT margin on total income went from 4.00% to 2.71% (pp. 72, 122).
- FY26 included an exceptional fire loss of ₹10.73 m; the insurance claim is under assessment and no receivable was booked (p. 371).

## SWOT

|                      | Item (figure, page)                                                                                                                                                                                                                                                                                                                                          |
|----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Strengths</b>     | Second largest Indian PET recycler by installed capacity at 180,360 MTPA, issuer-commissioned report (p. 220); mechanical and chemical recycling under one roof (p. 224); CFO positive each year, ₹156.84 m / ₹315.32 m / ₹820.93 m (p. 73); net debt/EBITDA 5.25x to 3.40x (p. 122); litigation threshold of ₹10.70 m is the lowest of three tests (p. 384) |
| <b>Weaknesses</b>    | PAT flat, ₹211.32 m to ₹224.92 m (p. 72); ROCE 10.28% (p. 122); RPSF 55.12% of revenue (p. 223); revenue per tonne –2.4% in FY26 (pp. 72, 122); audit trail not enabled at database level (p. 43)                                                                                                                                                            |
| <b>Opportunities</b> | Recycled-content mandate of 30% to 60% for FY26–FY29 (p. 222); Indian food-grade rPET volume 300.0 KT to 2,210.7 KT, issuer-commissioned (p. 187); food-grade capacity up to 56,160 MTPA, FY26 utilisation of that line 52.47% (pp. 24, 227); ₹3,200 m of debt repayment against ₹3,493.95 m outstanding on the listed loans (p. 113)                        |

|                | Item (figure, page)                                                                                                                                                                                                                                                   |
|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Threats</b> | Corporate guarantees of ₹1,155.20 m for the subsidiary's loans (p. 74); no long-term PET waste contracts (p. 228); fire of 04-Dec-2025 (p. 26); larger listed competitor with 64,500 TPA food-grade capacity (p. 188); imports 11.02% of COGS, up from 1.86% (p. 244) |

## The offer and objects

- **Size:** fresh issue of up to ₹4,000.00 m plus an offer for sale of up to 12,950,000 shares by nine promoters (cover page). At the ₹90.10 reference the OFS is ₹1,166.8 m and the offer ₹5,166.8 m (our arithmetic). A pre-IPO placement of up to ₹800.00 m may reduce the fresh issue (p. 109).
- **Eligibility:** Regulation 6(1). Anchor portion up to 60% of the QIB portion, one-third reserved for mutual funds. Allocation to anchors is discretionary, and anchor shares are locked in, 50% for 30 days and 50% for 90 days (p. 101).
- **Objects:** up to ₹3,200.00 m repays or prepays loans of the Company and JB rPET, scheduled for FY27; the balance is general corporate purposes, capped at 25% of gross proceeds, and offer expenses (pp. 110–115). There is no capex object. The loans listed total ₹3,493.95 m outstanding at 22-Sep-2026 at 7.01% to 10.50%, a balance-weighted average of about 7.96% (our arithmetic from pp. 112–113). Lenders are HDFC Bank, Axis Bank, Bajaj Finance and Tata Capital; no related-party loan is listed.
- **Funding the subsidiary:** the Company will invest in JB rPET as equity, debt or both; the mode is undecided (p. 115).
- **Shares and holders:** 171,988,460 shares before the issue after the bonus and split; promoters and group 89.06%, 55 shareholders (p. 102). Pre-issue preferential rounds: ₹132 per ₹10 share in Mar-2025 and ₹901 per ₹10 share in Sep–Oct 2025 (₹90.10 on the current share count) (pp. 125–126).
- **Promoter cost:** weighted average cost of acquisition per selling promoter ranges from nil to ₹6.50; the offer-weighted figure is about ₹3.60 (our arithmetic from the cover page). Primary issuances over the last three years carry a WACA of ₹4.79 and secondary transactions ₹1.79 (pp. 127–128).
- **Lock-ins:** promoters' minimum contribution (20% of post-offer capital) for three years, the rest of promoter holding for one year, pre-issue public shareholders six months (p. 100).

## Financials: positives and concerns side by side

| Area          | Positive                                                      | Concern                                                                                                                      |
|---------------|---------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|
| Growth        | Revenue $\times 1.57$ , volume $\times 1.53$ over FY24–26     | PAT $\times 1.06$ ; FY26 revenue per tonne $-2.4\%$                                                                          |
| Profitability | EBITDA margin 10.10% to 10.86%; EBITDA CAGR 29.9%             | PAT margin 4.00% to 2.71%; ROCE $\sim 10\%$                                                                                  |
| Cash          | CFO ₹1,293.09 m over three years, 201% of PAT                 | CFO is before interest (₹602.92 m paid); FY26 CFO includes a ₹541.21 m inventory release and a ₹321.68 m payables reduction  |
| Balance sheet | Debt/equity 1.75 to 1.14; net debt/EBITDA 5.25x to 3.40x      | Borrowings ₹3,118.57 m; ₹1,155.20 m of guarantees for the subsidiary; unsecured loans from promoters and relatives ₹164.66 m |
| Governance    | Independent directors in place; litigation threshold ₹10.70 m | Audit trail gap; promoters guarantee the loans to be repaid (pp. 260–261)                                                    |

## Forensic scorecard

| #  | Check                              | Result                                                                                                                                                                                     |
|----|------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1  | Bonus restatement                  | Pass. EPS and NAV use 171,988,460 shares for every year; the FY26 balance sheet still shows the pre-bonus count                                                                            |
| 2  | CFO vs PAT                         | Pass. Cumulative CFO/PAT 201%; about 108% after interest                                                                                                                                   |
| 3  | Current vs deferred tax            | Watch. Current tax 21.0% of cumulative PBT; 30.2% of the FY26 charge is deferred                                                                                                           |
| 4  | Related-party capex / subsidiaries | Watch. ₹201.89 m of solar equipment from related party Climate Detox in FY25 (27.9% of that year's fixed-asset purchases); ₹159.22 m and ₹265.00 m lent to the subsidiary in FY26 and FY25 |
| 5  | Objects price floor                | Not applicable. Amount-based issue                                                                                                                                                         |
| 6  | Revaluation reserve                | Watch. ₹614.81 m (22.5% of total equity); excluded from the issuer's net worth and NAV                                                                                                     |
| 7  | Goodwill                           | Pass. None                                                                                                                                                                                 |
| 8  | Concentration                      | Open. Percentages not disclosed; no long-term supply contracts                                                                                                                             |
| 9  | Contingent liabilities             | Watch. ₹1,333.86 m, 62.8% of ICDR net worth, mostly guarantees on consolidated debt; the two guarantee figures in the DRHP differ by ₹100.00 m                                             |
| 10 | Investor presentation              | Not applicable                                                                                                                                                                             |
| R1 | Auditor                            | Watch. DSI & Co resigned Dec-2024; Singhi & Co since Mar-2025                                                                                                                              |
| R2 | CARO audit trail                   | Watch. Not enabled at database level, FY26                                                                                                                                                 |
| R3 | Monitoring agency                  | Pass. To be appointed                                                                                                                                                                      |
| R4 | Eligibility re-computation         | Pass. Operating profit reproduces ₹585.80 m                                                                                                                                                |
| R6 | BRLM track record                  | Open. Table below                                                                                                                                                                          |

## Merchant bankers

### Motilal Oswal Investment Advisors Limited

- **Status:** the DRHP does not state its listing; its parent, Motilal Oswal Financial Services, is listed. Ownership has not been sourced in this run (see data gaps).
- **Issues handled:** 7 IPOs in FY25 (₹108,359.23 m), 21 in FY26 (₹492,981.69 m) and 14 so far in FY27 (₹420,983.02 m) (p. 405).
- **At 30 days:** in FY26, 15 issues traded at a premium and 6 at a discount; in FY25, 5 and 2 (p. 405).
- **At 180 days:** in FY26, 11 at a premium and 8 at a discount (2 not yet 180 days); in FY25, 5 and 2 (p. 405).

### JM Financial Limited

- **Status:** listed (NSE: JMFINCIL).

- **Ownership:** promoted by the Kampani family, with the promoter group holding about 57% (June 2026, secondary source, unverified).
- **Issues handled:** 13 IPOs in FY25 (₹255,434.10 m), 27 in FY26 (₹675,324.16 m) and 16 so far in FY27 (₹513,059.44 m) (p. 406).
- **At 30 days:** in FY26, 15 at a premium and 12 at a discount; in FY25, 8 and 5 (p. 406).
- **At 180 days:** in FY26, 15 at a premium and 12 at a discount (p. 406).

**Recent issues handled by either manager.** Listing data comes from the DRHP, pp. 404–406 (exchange-sourced). Revenue, PAT and latest price come from secondary web sources, are **unverified**, and are named in `data/merchant_bankers.json`. Issues new to this table show "not retrieved".

| Issuer (sector)                                                                      | Lead manager                               | Issue price (₹) | Listed     | Listing-day open vs issue | 30 / 90 / 180 days* | Revenue FY24 → FY26 (₹ cr)                 | PAT FY24 → FY26 (₹ cr)                    | Latest price  |
|--------------------------------------------------------------------------------------|--------------------------------------------|-----------------|------------|---------------------------|---------------------|--------------------------------------------|-------------------------------------------|---------------|
| National Stock Exchange of India Ltd (Stock exchange / market infrastructure )       | JM Financial + 360 ONE WAM + Motilal Oswal | 1,785.00        | 2026-09-24 | +0.84%                    | – / – / –           | 14,780.00 → 16,601.00 (+1,821.00; +12.32%) | 8,406.00 → 10,302.00 (+1,896.00; +22.56%) | not retrieved |
| Hero Motors Ltd (Auto components / EV powertrain)                                    | JM Financial                               | 84.00           | 2026-09-23 | -2.26%                    | – / – / –           | 1,064.39 → 1,188.35 (+123.96; +11.65%)     | 17.03 → 41.17 (+24.14; +141.75%)          | not retrieved |
| Karamtara Engineering Ltd (Transmission towers & solar structures)                   | JM Financial                               | 254.00          | 2026-09-17 | +25.98%                   | – / – / –           | 2,425.15 → 4,311.98 (+1,886.83; +77.80%)   | 102.65 → 228.75 (+126.10; +122.84%)       | not retrieved |
| Asset Reconstruction Company (India) Ltd (Asset reconstruction / financial services) | JM Financial                               | 139.00          | 2026-09-17 | +0.00%                    | – / – / –           | 570.14 → 753.04 (+182.90; +32.08%)         | not retrieved                             | not retrieved |
| Lumino Industries Ltd (Power conductors & cables)                                    | JM Financial + Motilal Oswal               | 82.00           | 2026-09-03 | +34.15%                   | – / – / –           | 1,407.30 → 2,041.10 (+633.80; +45.04%)     | 86.60 → 160.00 (+73.40; +84.76%)          | not retrieved |
| Symbiotec Pharmed Ltd (Pharma APIs (steroids & hormones))                            | JM Financial + Motilal Oswal               | 988.00          | 2026-09-01 | -0.99%                    | – / – / –           | 716.25 → 869.15 (+152.90; +21.35%)         | 100.06 → 109.90 (+9.84; +9.83%)           | not retrieved |

| Issuer (sector)                                                          | Lead manager                 | Issue price (₹) | Listed     | Listing-day open vs issue | 30 / 90 / 180 days* | Revenue FY24 → FY26 (₹ cr)                | PAT FY24 → FY26 (₹ cr)             | Latest price                             |
|--------------------------------------------------------------------------|------------------------------|-----------------|------------|---------------------------|---------------------|-------------------------------------------|------------------------------------|------------------------------------------|
| Augmont Enterprises Ltd (Gold & silver refining / bullion)               | JM Financial + Motilal Oswal | 788.00          | 2026-08-31 | +21.95%                   | - / - / -           | 3,492.15 → 9,418.62 (+5,926.47; +169.71%) | 75.97 → 348.30 (+272.33; +358.47%) | not retrieved                            |
| Tempsens Instruments (India) Ltd (Temperature sensors & instrumentation) | JM Financial                 | 300.00          | 2026-08-28 | +111.33%                  | +77.02% / - / -     | 274.81 → 444.88 (+170.07; +61.89%)        | 40.92 → 71.07 (+30.15; +73.68%)    | ₹531.55 on 2026-09-29 (+77.18% vs issue) |
| Gaja Alternative Asset Management Ltd (Alternative asset management)     | JM Financial                 | 160.00          | 2026-08-26 | +15.62%                   | -8.79% / - / -      | 103.96 → 157.80 (+53.84; +51.79%)         | 44.74 → 81.96 (+37.22; +83.19%)    | not retrieved                            |
| Horizon Industrial Parks Ltd (Industrial & warehousing parks)            | JM Financial + 360 ONE WAM   | 60.00           | 2026-08-24 | +0.42%                    | -12.07% / - / -     | 245.52 → 767.84 (+522.32; +212.74%)       | not retrieved                      | not retrieved                            |
| LCC Projects Ltd (Not stated in offer document)                          | Motilal Oswal                | 146.00          | 2026-09-17 | +31.44%                   | - / - / -           | not retrieved                             | not retrieved                      | not retrieved                            |
| Rentomojo Ltd (Not stated in offer document)                             | Motilal Oswal                | 404.00          | 2026-09-17 | +19.42%                   | - / - / -           | not retrieved                             | not retrieved                      | not retrieved                            |
| Manipal Payment & Identity Solutions Ltd (Not stated in offer document)  | Motilal Oswal                | 339.00          | 2026-09-17 | -2.65%                    | - / - / -           | not retrieved                             | not retrieved                      | not retrieved                            |
| Glass Wall Systems (India) Ltd (Not stated in offer document)            | Motilal Oswal                | 182.00          | 2026-09-16 | +4.45%                    | - / - / -           | not retrieved                             | not retrieved                      | not retrieved                            |
| Molbio Diagnostics Ltd (Not stated in offer document)                    | Motilal Oswal                | 807.00          | 2026-08-17 | +21.44%                   | +68.70% / - / -     | not retrieved                             | not retrieved                      | not retrieved                            |

| Issuer (sector)                               | Lead manager  | Issue price (₹) | Listed     | Listing-day open vs issue | 30 / 90 / 180 days* | Revenue FY24 → FY26 (₹ cr) | PAT FY24 → FY26 (₹ cr) | Latest price  |
|-----------------------------------------------|---------------|-----------------|------------|---------------------------|---------------------|----------------------------|------------------------|---------------|
| Lohia Corp Ltd (Not stated in offer document) | Motilal Oswal | 425.00          | 2026-07-30 | +8.47%                    | +32.96% / – / –     | not retrieved              | not retrieved          | not retrieved |

\* % change in closing price over the issue price on the 30th, 90th and 180th calendar day. "–" means that day had not yet been reached when the DRHP was filed.

### Read of the track record.

- Of the 16 issues, 12 opened above the issue price, 1 was flat and 3 were below; the largest opening gain was Tempsens at +111.33% and the largest fall Manipal Payment at –2.65%.
- Where 30-day data exists, 3 of 5 issues were up (Tempsens, Molbio, Lohia) and 2 down (Gaja, Horizon).
- No issue in the table has 180-day data. Most listings are under two months old, so the record says little yet about medium-term outcomes. The year-wise summaries above (FY25 and FY26) are the longer record.

## Valuation

All values are ₹ per share on 21.64 crore post-issue diluted shares at the ₹90.10 reference (fresh issue of ₹400 crore at that price, before offer expenses).

| Scenario | DCF   | Relative | Blended 60:40 | vs ₹90.10 |
|----------|-------|----------|---------------|-----------|
| Bear     | 11.69 | 69.81    | 34.94         | –61.2%    |
| Neutral  | 14.03 | 69.81    | 36.34         | –59.7%    |
| Bull     | 18.05 | 69.81    | 38.76         | –57.0%    |

- **DCF.** WACC is 15.76% (house CAPM inputs; pre-tax cost of debt set at 8.00%, near the 7.0–8.0% on most listed loans, pp. 112–113). Terminal growth is 4.50%. The Neutral case has revenue growth easing from 14% to 8%, an EBITDA margin of 10.5% and trade working capital at 13% of revenue. Terminal value is 88.5% of enterprise value, above the 75% guard. Terminal return on invested capital (11% Neutral, 9–13% across cases) is below the WACC, so extra growth does not add value in the model; this follows from an issuer ROCE of about 10%.
- **Relative.** Uses the only listed peer in the DRHP, Ganesha Ecosphere (p. 121), at its P/E of 68.90x, a derived EV/EBITDA of about 21.2x and a P/B of 2.10x, weighted 40:40:20 with a 10% discount. One peer is a thin base, and that peer's FY26 PAT fell 63% from FY25 (₹1,031.20 m to ₹382.14 m, p. 124), which lifts its P/E. Peer enterprise value and net worth are derived from the DRHP's per-share figures (shares = PAT ÷ diluted EPS).
- **Why DCF and relative differ by 80%.** The relative method prices peer earnings at a trough-year multiple. The DCF prices the cash this business converts at a roughly 10% return on capital against a 15.76% cost of capital. The reference price sits near the relative value: P/E is 68.8x pre-issue and 86.7x post-issue on FY26 EPS.
- **Illustrative arithmetic, not a forecast.** If the full ₹3,200 m of repayment saved interest at the 7.96% average rate, pre-tax interest falls by about ₹254.7 m and PAT rises by about ₹190.6 m at a 25.17% tax rate. FY26 PAT would then be ₹415.5 m, or ₹1.92 per post-issue share, a P/E of about 46.9x at ₹90.10.

This ignores offer expenses, the general-corporate-purposes amount, the pre-IPO placement and any change in operations.

- **Reverse DCF.** The reference price asks the business to deliver 406.6 times its current free cash flow (₹4.56 crore), in perpetuity. Holding the others at actual levels, it needs perpetual growth of 15.5% on current free cash flow (against 4.50%), or a WACC of 4.76% (against 15.76%), or a steady-state EBIT margin of 54.6% (against 7.08%); no working-capital level reaches it.
- **Sensitivity.** One point of EBITDA margin moves Neutral DCF value by about ₹2.57 per share and one point of WACC by about ₹1.1–1.3. A three-point change in working capital as a share of revenue moves it by about ₹1.5. The grids show both axes.

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## What would change our view

Test each of these against the RHP:

1. **Price band.** The Neutral blended value is ₹36.34 and the peer P/E is 68.9x; a band above the reference would widen the gap, one materially below it would narrow it.
2. **Earnings.** Restated H1 FY27 PAT. Over FY24–FY26 it was ₹205–225 m a year. A first half that annualises well above ₹300 m would support the post-repayment arithmetic.
3. **Concentration.** Top-1, top-5 and top-10 customer and supplier shares. The screening tests flag a top customer above 50% or top-10 above 80% of revenue.
4. **Subsidiary.** JB rPET's standalone loss (₹17.41 m in FY26) and net assets (–₹70.80 m), and whether proceeds go in as equity or debt and at what rate.
5. **Use of proceeds.** Which loans are repaid, and whether promoter personal guarantees (pp. 260–261) are released.
6. **Control gap.** Audit trail enabled at database level in the next audited period.
7. **Bottle count.** An explanation of bottles recycled falling from 5,392.31 million to 3,528.44 million (–34.6%) while production volume was 98,435 MT and 99,190 MT (pp. 122, 225).
8. **Utilisation.** Production on the 56,160 MTPA food-grade line above the 11,333 MT (52.47% of 21,600 MTPA) of FY26.

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## Risks

- PET waste availability and price, with no long-term supply contracts (p. 228).
- Dependence on enforcement of the recycled-content rules for the food-grade ramp-up (p. 222).
- Interest cost: finance cost was 3.4% of FY26 revenue and EBITDA covers it 3.2 times (p. 72).
- Corporate guarantees of ₹1,155.20 m on the subsidiary's loans, and promoter personal guarantees on both entities' loans (pp. 74, 260–261).
- Fire at the plant on 04-Dec-2025; the claim is unresolved (p. 26).
- Promoters hold 89.06% before the issue; after listing the one-year and six-month lock-in expiries release 969.4 lakh and 188.2 lakh shares at the reference price (our arithmetic from p. 100).

## Data gaps

| Item                                                                                                  | Severity | Where to source            |
|-------------------------------------------------------------------------------------------------------|----------|----------------------------|
| Price band, offer expenses and general corporate purposes amount                                      | High     | RHP                        |
| Customer and supplier concentration percentages                                                       | High     | RHP / issuer               |
| Interim H1 FY27 financials                                                                            | High     | RHP                        |
| Which loans are prepaid, and the split between Company and subsidiary; mode of funding the subsidiary | Medium   | RHP                        |
| Only one listed peer disclosed                                                                        | Medium   | RHP / exchange filings     |
| Bottle count against production volume                                                                | Medium   | RHP / issuer               |
| Promoter WACA at floor and cap; pre-IPO placement pricing                                             | Medium   | RHP                        |
| Motilal Oswal ownership; current price and 3-year financials for 14 of the 16 listed issues           | Medium   | BSE / NSE, company filings |
| Insurance claim recovery for the fire                                                                 | Low      | RHP                        |

## Verification

- **Restated P&L reproduces:** FY26 expenses sum to ₹7,968.01 m; PBT ₹308.08 m less tax ₹83.16 m equals PAT ₹224.92 m. FY25 and FY24 reproduce the same way.
- **Balance sheet balances** in all three years (FY26 assets ₹6,948.25 m equal equity plus liabilities).
- **EBITDA reproduces the issuer's KPI** for all three years (₹898.76 m, ₹768.50 m, ₹532.90 m) from PBT, finance cost, depreciation, exceptional items and other income.
- **Operating profit reproduces the eligibility table** (₹585.80 m, ₹509.29 m, ₹387.58 m).
- **Reserves roll forward:** retained earnings ₹721.91 m plus PAT ₹224.92 m equals ₹946.83 m.
- **Net worth reconciles:** total equity ₹2,737.70 m less revaluation reserve ₹614.81 m equals ₹2,122.89 m, the issuer's net worth; RoNW 10.59% = ₹224.92 m ÷ ₹2,122.89 m.
- **Peer P/E reproduces:** ₹997.60 ÷ ₹14.48 = 68.90x.
- **Extraction:** the restated financial statements are text-readable in the PDF, so no OCR was used; all figures are from the text layer. The KPI table and statements were cross-read against each other.
- **Document inconsistency noted:** the corporate guarantee amount for the subsidiary is ₹1,055.20 m in the risk factor (p. 31) and ₹1,155.20 m in the contingent liabilities table (p. 74).
- **Workbooks:** the toolkit verification passed 44 of 44 checks.

## Disclaimer and disclosures

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